

SOCIAL VALUE-ADD

We are serious about the future of South Africa and therefore sustainable development is a topic which we never fail to emphasize for its strategic importance and to inform our thinking and the deployment of capital and resources.

Social capital investment at a glance



R26.5 million^{LA}
total SED spend

84.7%
total discretionary spend with BBBEE companies

531
members of the community on learnerships

772
learners benefited from our maths, science and accountancy programmes

If this deployment doesn't deliver into our purpose, if it doesn't add broader value then, ultimately, it's not worth doing. DRDGOLD remains committed to improving the lives of the communities where our operations are located, accomplished through local economic growth and development initiatives as well as providing educational support.



Social licence to operate

Our new SLP, submitted as part of our compliance with the Minerals and Petroleum Resources Development Act (MPRDA), commenced in January 2018. The plan was developed after extensive consultation with stakeholders including the City of Johannesburg and City of Ekurhuleni (previously referred to as Ekurhuleni Metro Municipality). The projects we have committed to are motivated by the need to improve the lives of the members of our communities and are aimed at addressing the needs of our employees and our communities, all with an over-arching theme of poverty alleviation and entrepreneurship. In early 2019, we submitted our transitional implementation plans in line with Mining Charter III, to ensure compliance within the regulator's requirements.

All procurement of goods and services is in line with the national promotion of BBBEE companies and the Mining Charter. During FY2019, our total discretionary spend was 84.7% with BBBEE companies, compared to 90.7% in the previous year.

Crown Complex vegetation programme

A consortium was established in October 2017 and consists of nine local companies that represent areas including Langlaagte, Diepkloof, Meadowlands, Orlando West, Orlando East, Riverlea, Pennyville and Ormonde. The consortium currently employs 27 community members from the abovementioned areas. Their current project entails the establishment of new side slope vegetation on the Crown tailings dam and to irrigate until the vegetation is established and self-sustainable. Ergo currently supplies all the material for the vegetation establishment but it is expected that the consortium will supply the material in the future once it becomes a commercially viable business.



SOCIAL VALUE-ADD CONTINUED



Broad-based Livelihoods Programme

The Broad-based Livelihoods Programme, launched four years ago in the communities of Tsakane, Geluksdal and Daveyton, adjacent to our Tailings Deposition Facility, has now been extended to Merafong in Carletonville. The focus of the project is on empowering individuals, households, existing micro-farmers and co-operatives to produce vegetables and crops at their homes to firstly, address food security challenges and secondly, to enable them to enter the economic mainstream by selling excess produce. By the end of FY2019, the programme had benefited 1 468 households with more than 90 training sessions (covering the eight key topics of the low-cost organic crop production methodology used) with seven learning groups. The programme now serves 19 townships.



Project	Outcome	Area	2019 R	2018 R
Vegetation rehabilitation	Local youth employment	Soweto and Geluksdal	2 688 825	2 518 065
Crown Complex Consortium	Local community development	Local communities around Crown Complex	3 695 070	2 137 856
Broad-based Livelihoods Programme	Local economic development	Tsakane, Soweto and Merafong	3 700 180	1 570 000
Metallurgical research at Wits University	Metallurgical research	Braamfontein, Johannesburg	1 200 000	1 200 000
Other			77 609	446 847
Total			11 361 684	7 872 768

SOCIAL VALUE-ADD CONTINUED

Educating our communities

Maths, science and accountancy

Our maths, science and accounting teaching programmes have been welcomed unreservedly by principals, teachers and learners at supported schools. More and more learners are attempting to bridge any perceived gaps in their education, particularly in maths and science, as these subjects are key to achieving university entrance and success thereafter.

In regular quarterly meetings with the relevant principals of the schools we support, DRDGOLD has received gratitude for the efforts of our teachers whose passion and drive are inspirational. Some even gave up their weekends to assist learners who are unable to attend extracurricular sessions.

Although the year-end results were still lower than we would have liked, our month-on-month reports reflect an increase in averages in our pre- and post-test results.

Bursaries

DRDGOLD is proud of the support we provide for the youth throughout their educational journey so that they can fulfil their potential and not only make a contribution to our organisation but ultimately to the economy. Two of our former bursary students, who graduated at the end of 2017, passed their Government Certificate of Competency exams and may now legally be appointed as engineers.

A total of R539 239 was spent on bursaries during FY2019 (FY2018: R640 965).

Learnerships

In line with the national strategy to eliminate the shortage of skills, we provide artisan training for our youth and learnerships (a structured learning programme leading to a lifelong skills) were given to 531 community members during FY2019 (FY2018: 488).

We also assisted 214 community members to complete their trade tests and successfully obtain a national certificate (FY2018: 192).

Education and training spend	2019 R	2018 R
Maths, science and accountancy	1 187 482	1 111 751
Adult education and training	2 160 450	2 029 267
National diploma (N1 and N2 courses)	165 810	428 360
Artisan training	2 098 207	3 338 059
Bursaries	539 239	640 965
Total	6 151 188	7 548 402



Wits School of Chemical and Metallurgical Engineering partnership

To assist universities with research and the development of new technologies, in FY2017 DRDGOLD entered into a partnership with the Wits School of Chemical and Metallurgical Engineering and committed to funding of R1.2 million per year over a five-year period. The school will be assisting DRDGOLD with both short-term and long-term research projects which include improving gold recoveries and ways to treat lower grade material in a profitable manner. Improved gold recoveries are a key enabler to growing our reserves and extending our LoM. While some of the work will be directed at our operations, most of

the research will be on open projects and will be made available to the entire gold mining industry.

Corporate social investment

DRDGOLD has focused its CSI programme on initiatives that benefit the communities surrounding operations within the Johannesburg and Ekurhuleni municipalities. Ideally, these initiatives will have a positive impact on the communities affected by the Group's operations and leave a lasting legacy. Legitimate stakeholders are consulted to understand their interests and concerns. A total of R266 612 (FY2018: R370 144) was spend on the CSI programme during the year.



OUTLOOK

During FY2019, we submitted our annual Social and Labour Plan Compliance report to the DMR after implementing our first year of the SLP.

As the Broad-based Livelihoods Programme on the East Rand has proved to be so successful, in 2018 we upscaled this initiative to ensure more participants move from subsistence to small-scale commercial farming over the next five years.

In FY2019, the Broad-based Livelihoods Programmes was also implemented in the Soweto region of the Johannesburg municipality and in Merafong, Carletonville.